Either way, in July 2006, Pakistan banned the BLA. Pakistan's allegations of India training Baloch insurgents in Afghanistan with Karzai's help, and the subsequent attack on Indian assets in Afghanistan, came in this context. The Zaranj-Delaram highway cut right through the Baloch-dominated Nimroz province from where Kutty had been kidnapped in 2005. The presence of Indian security personnel in that sector was a highly sensitive issue for Pakistan.[129] Rumours about India supplying 'commandos' or 'secret police' in Afghanistan that may undertake hot-pursuit of militants were rife (though incorrect).[130] India had also set up a consulate in Zahedan in Iran's Sistan-Balochistan province (with nearly two million Baloch population) to monitor the construction of the Zaranj-Delaram highway and the Chahbahar port; all of which were seen as indications by the Pakistani military of an Indian hand in the insurgency.

On 26 August 2006, when Akbar Khan Bugti was mysteriously killed in a ground operation,[131] the MEA came out with an official statement criticising the 'unfortunate killing of the veteran Baloch leader' and calling it a 'tragic loss to the people of Balochistan and Pakistan'.[132] With former foreign secretary Shyam Saran advocating a harder line on Balochistan as a pressure point against Pakistan, India also asked its high commissioner in Islamabad to visit Gilgit-Baltistan (but nothing happened given the divisions over the question within the government).[133] Pakistan sharply retorted asking India to mind its 'own business', and not interfere in the affairs of Balochistan.[134]

On 17 January 2007, an angry Musharraf told visiting US Assistant Secretary for South and Central Asian affairs, Richard Boucher, that Akbar Khan Bugti's grandson, Brahamdagh (as well as Balaach Marri) was living in Afghanistan and traveled frequently between Kabul and Kandahar planning operations against Pakistani security forces with Indian support.[135] When Boucher tried reassuring Musharraf that the US would not allow any anti-Pakistan activities from Afghan soil, the general sharply replied: 'that's bullshit'.[136] Three days later in Kabul, Boucher challenged Karzai on the issue of Brahamdagh Bugti. The Afghan president, in a candid response, admitted that Brahamdagh was operating from Afghanistan.[137] Maintaining that he did not consider the Baloch separatists as terrorists, Karzai asserted that Afghanistan was not supporting Brahamdagh militarily, as that would mean 'too much trouble' for Afghanistan, and that